| Reg. No | | | | | | | | | |
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# St. Joseph's College of Arts & Science(Autonomous)

**St. Joseph's College Road, Cuddalore-607001**

**B.COM DEGREE EXAMINATION – APRIL 2021**

**CM511T – COST ACCOUNTING**

**Time : 3 hrs** **Max Marks :75**

**SECTION – A (10X2=20)**

Answer **ALL** the Questions

1. Define cost accounting.
2. What is cost sheet?
3. What do you mean by cost audit?
4. Who is a cost auditor?
5. What is EOQ?
6. What is Bincard?
7. What do you mean by direct labour cost?
8. What is idle time?
9. What is overhead?
10. What do you mean by machine hour rate method?

**SECTION – B (5 X 5 = 25)**

**Answer any FIVE Questions**

11. From the following information, prepare a cost sheet for the month of January 2015:

| Particulars | Amount |
|---|---|
| Stock of Raw materials on 1st January 2015 | 25,000 |
| Stock of Raw materials on 31st January 2015 | 26,200 |
| Purchase of Raw materials | 21,900 |
| Carriage on purchases | 1,100 |
| Sales | 72,300 |
| Direct wages | 17,200 |
| Non-productive wages | 800 |
| Direct expenses | 1,200 |
| Factory overheads | 8,300 |
| Administrative overheads | 3,200 |
| Selling overheads | 4,200 |

12. Discuss the limitations of cost accounting.

13. Discuss the objective of Cost audit.

14. In a company, weekly minimum and maximum consumption of material "A" are 25 and 75 units respectively. The reorder quantity as fixed by the company is 300 units. The material is received within 4 to 6 weeks from issue of supply order. Calculate Minimum level and Maximum level of material A.

15. Mr. A worker in a factory is paid on time basis. During the month of October 2010 he has worked for 200 hours. His hourly wage rate is Rs. 10 per hour.

    Mr. B another employee of the company is paid on the basis of piece wages. During the month of October 2010 his output was 1000 units. Rate of wages per piece is Rs. 3. Calculate the wages of respective workers for the month of October 2010.

16. During February 2007, works overhead incurred in a factory was Rs. 40000. The machine hours worked during the month were 8000 hours. Determine the machine hour rate to be charged to the output to recover the works overhead.

17. Find out the Economic Order Quantity (EOQ) from the following particulars:

| | | |
|---|---|---|
| Annual usage | - | 6000 units |
| Cost of material per unit | - | Rs. 20 |
| Cost of placing and Receiving one order | - | Rs. 60 |
| Annual Carrying cost of one unit | - | 10% of inventory value. |

**SECTION – C (3 X10=30)**

**Answer any THREE questions**

18. The following details have been obtained from the cost records of Ramesh Ltd.

| **Particulars** | **Amount (Rs.)** |
|---|---|
| Stock of Raw materials on 1st Dec 2013 | 75,000 |
| Stock on Raw materials on 31st Dec 2013 | 91,500 |
| Direct Wages | 52,500 |
| Indirect wages | 2,750 |
| Sales | 2,11,000 |
| Work-in-Progress 1st Dec 2013 | 28,000 |
| Work-in-Progress 31st Dec 2013 | 35,000 |

| | |
|---|---|
| Purchase of raw materials | 66,000 |
| Factory rent, rates and power | 15,000 |
| Depreciation of plant and machinery | 3,500 |
| Expenses on purchases | 1,500 |
| Carriage outwards | 2,500 |
| Advertising | 3,500 |
| Office rent, rates and power | 2,500 |
| Traveller's wages and commission | 6,500 |
| Stock of Finished Goods 1st Dec 2013 | 54,000 |
| Stock of Finished Goods 31st Dec 2013 | 31,000 |

Prepare a Cost sheet giving the maximum possible break up of costs and profit.

19. From the particulars given below write up the stores ledger for the month of January 2012:

| **Date & Month** | **Particulars** |
|---|---|
| Jan.1 | Opening Stock 1000 units at Rs. 26 each |
| Jan.5 | Purchased 500 units at Rs. 24.50 each. |
| Jan.7 | Issued 750 units. |
| Jan.10 | Purchased 1500 units at Rs. 24 each. |
| Jan.12 | Issued 1100 units. |
| Jan 15 | Purchased 1000 units at Rs. 25 each. |
| Jan.17 | Issued 500 units. |
| Jan.18 | Issued 300 units. |
| Jan.25 | Purchased 1500 units at Rs. 26 each. |
| Jan.29 | Issued 1500 units. |

Adopt the FIFO method of issue and ascertain the value of closing stock.

20. Explain in detail about the Qualification and Disqualification of Cost auditor.

21. Calculate the earnings of workers X and Y under (a) Straight piece rate system and (b) Taylor's Differential piece rate system from the following details:

- ✓ Standard time per unit - 12 Minutes
- ✓ Standard rate per hour - Rs. 60
- ✓ Differentials to be used 80% and 120%.

In a particular day 8 hours, worker 'X' produced 30 units and worker 'Y' produced 50 units.

22. Akshitha Limited has three production departments 'A', 'B' and 'C' and two service departments 'D' and 'E'. The following figures are extracted from the records of the company:

- Rent and Rates Rs. 5,000
- Indirect wages Rs. 1,500
- Depreciation of machinery Rs. 10,000
- General lighting Rs. 600
- Power Rs. 1,500
- Sundries Rs. 10,000

Following further details are available:

| **Particulars** | **Total** | **A** | **B** | **C** | **D** | **E** |
|---|---|---|---|---|---|---|
| Floor Space in square feet | 10000 | 2000 | 2500 | 3000 | 2000 | 500 |
| Light points | 60 | 10 | 15 | 20 | 10 | 5 |
| Direct wages (Rs.) | 10000 | 3000 | 2000 | 3000 | 1500 | 500 |
| H.P of machines | 150 | 60 | 30 | 50 | 10 | - |
| Value of Machinery (Rs.) | 250000 | 60000 | 80000 | 100000 | 5000 | 5000 |

Apportion the cost to various departments on the most equitable basis by preparing a primary departmental distribution summary.

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